

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **The Fed's Powell** said he would stay on the central bank's board after his chairmanship ends to defend the institution from what he called unprecedented legal attacks from the Trump administration. **A1**
- ◆ **Major U.S. stock indexes** ended mixed after the Fed left interest rates unchanged, with the Dow and S&P 500 losing 0.6% and less than 0.1%, respectively, and the Nasdaq rising less than 0.1%. **B1**
- ◆ **Elon Musk** said in court testimony he was a "fool" to back OpenAI when it was a nonprofit and clashed with an attorney for Sam Altman. **B1**
- ◆ **Meta Platforms** reported a 33% jump in quarterly sales compared with a year earlier and said it would spend more to build AI data centers this year than it had forecast. **A1**
- ◆ **Google parent Alphabet** reported a 22% surge in first-quarter revenue as the artificial-intelligence race fuels growth of its cloud business. **B1**
- ◆ **Microsoft** reported robust cloud growth of 40% that failed to allay investor concerns about how it will convert its bet on AI infrastructure into reliable profits. **B4**
- ◆ **SoftBank** is forming a new venture focused on the intersection of AI and robotics, an area CEO Masayoshi Son sees as the "next frontier" for the Japanese conglomerate. **B1**
- ◆ **Shares of Bill Ackman's** stock-picking fund fell more than 18% in their trading debut on the NYSE. **B1**
- ◆ **Robinhood** shares fell more than 13% after the brokerage's quarterly earnings report signaled that its customers may be turning more cautious. **B1**

Worldwide

- ◆ **The Supreme Court** sharply restricted states from using race to draw voting districts that help minority communities elect their preferred candidates. **A1**
- ◆ **Florida's Republican**-controlled legislature approved a redrawn district map that could give the GOP up to four more seats in the House in the midterm elections. **A4**
- ◆ **The Supreme Court** appeared closely split on the administration's bid to end legal cover for hundreds of thousands of immigrants who now enjoy Temporary Protected Status. **A4**
- ◆ **Prosecutors released** new details about the suspect in the shooting at the White House Correspondents' Dinner, saying he planned the attack weeks in advance. **A3**
- ◆ **The White House** opposed a plan from Anthropic to expand access to its powerful Mythos artificial-intelligence model, citing national-security risks. **A6**
- ◆ **U.S. military operations** in Iran have so far cost taxpayers roughly \$25 billion, a top Defense Department official told lawmakers. **A8**
- ◆ **Amazon is discussing** a potential reboot of "The Apprentice," the reality TV show that once starred Donald Trump and propelled him to national fame. **A6**
- ◆ **The U.S. charged** the governor of Mexico's Sinaloa state and other officials with drug trafficking. **A8**
- ◆ **Two Jewish men** were wounded by a knife-wielding man in London in what police called a terrorist attack. **A7**

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Jerome Powell on Wednesday exits his last news conference as Federal Reserve chair.

Powell Plans To Remain On Fed Board

Longtime chair vows to defend central bank's independence; rates stay unchanged

By NICK TIMIRAO

WASHINGTON—Federal Reserve Chair Jerome Powell said he would stay on the central bank's board after his chairmanship ends next month to defend the institution from what he called unprecedented legal attacks from the Trump administration.

His decision marks a departure from decades of precedent and overshadowed deepening divisions over the path for interest rates.

Powell made public his decision on Wednesday after officials extended an interest-rate pause, but split over whether to continue hinting at further

rate cuts, an uncharacteristically contentious end to Powell's eight-year chairmanship.

His term as chair ends May 15 but a separate term as governor allows Powell to remain at the Fed until early 2028. For decades, Fed chairs have left the building when their successor is installed.

His decision highlighted how an unprecedented public campaign to pressure the Fed to lower interest rates has further complicated the handoff to Kevin Warsh, the former Fed governor President Trump tapped as Powell's successor.

"My concern is really about the series of legal attacks on the Fed, which threatened our ability to conduct monetary policy without considering political factors," he said. "I'm

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◆ **Dow slips** as oil touches wartime highs..... **B1**

Court Curbs Use of Race in Redistricting

By JAMES ROMOSER
AND LOUISE RADNOFSKY

WASHINGTON—The Supreme Court on Wednesday sharply restricted states from using race to draw voting districts that help minority communities elect their preferred candidates.

The 6-3 decision, which divided the court along ideological lines, further erodes the traditional protections of the Voting Rights Act and is expected to fuel additional state efforts to remake their congressional maps, potentially

eliminating safe Democratic congressional seats and converting them into districts that lean Republican. The ruling also could lead to fewer minorities in Congress.

Justice Samuel Alito, writing for the court's conservative majority, adopted a narrow interpretation of the central provision of the Voting Rights Act, the landmark 1965 law that prohibits racially discriminatory election rules.

Alito said the provision, known as Section 2, applies only to state redistricting practices that "intentionally"

discriminate against voters on the basis of race. It doesn't prevent states from pursuing a "partisan advantage" in ways that might also reduce the voting power of large and geographically compact minority communities, he wrote.

Alito, echoing a previous ruling by the court, said the nation, particularly the South, had seen "vast social change" since the days of entrenched racial discrimination that prompted enactment of the Voting Rights Act.

"Black voters now participate in elections at similar

rates as the rest of the electorate, even turning out at higher rates than white voters in two of the five most recent Presidential elections nationwide and in Louisiana," he wrote.

The case involved the congressional map in Louisiana, which has six seats in the U.S. House of Representatives. The state, prodded by rulings from federal courts, drew two of those six districts to have a majority of Black voters. Civil-rights activists said the majority-Black districts were necessary for the state to meet the requirements of the Voting

Rights Act.

The high court's ruling sided with a group of self-described "non-African American" voters who sued to challenge the state's map as an unconstitutional racial gerrymander. They argued that considering race in drawing district lines—even if done to comply with traditional voting-rights requirements—violated the 14th Amendment's prohibition on race-based discrimination.

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◆ **Florida legislature** approves redistricting to aid GOP... **A4**

Meta Posts 33% Jump In Revenue, Pours More Into AI

By MEGHAN BOBROWSKY

Meta Platforms reported revenue increased 33% in the first quarter—its biggest quarterly revenue jump in nearly five years—but said it would spend even more money to build out AI data centers this year than it had previously forecast.

The Facebook parent said Wednesday it brought in \$56.3 billion in sales and net income of \$26.8 billion. Both sales and net income came in ahead of analyst expectations, although \$8 billion of net income was the result of a tax benefit the company realized in the first quarter of the year.

Meta's stock was down more than 5% in after-hours trading.

A spate of big tech earnings reports on Wednesday captured how artificial intelligence is transforming the industry's economics, driving rapid revenue and profit growth but consuming spiraling quantities of capital. Google parent Alphabet, Microsoft and Amazon all reported revenue and profit that beat analysts' expectations.

Unlike Meta, all three are direct beneficiaries of mounting AI spending via their cloud-computing divisions. Revenue at Google's cloud unit jumped 63% year-over-year, Microsoft's gained 40% and Amazon Web Services saw a 28% increase.

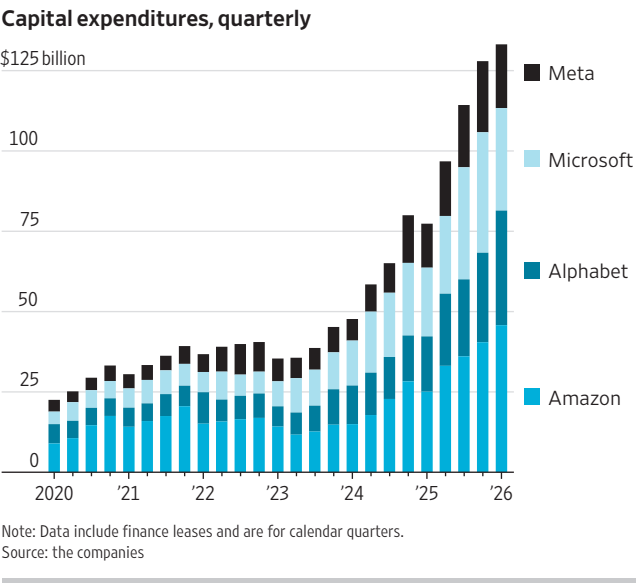
Meta increased its projected capital spending for the year

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◆ **Meta to run servers** an extra year..... **B6**

Tech Giants' Spending Soars

Capital spending at tech giants has climbed as they build data centers and advance AI models. Alphabet, Microsoft and Amazon all reported big jumps in profit on Wednesday. **B1, B4**



Tiny Windows Plague the U.K., And Old Ladies Are to Blame

Guidelines aim to make cleaning glass easy. Critics say that makes for ugly buildings.

By NATASHA DANGOOR

LONDON—Unlike much of Europe, where neighbors might lean out from their windows to shout to one another Italian-style, a resident of a new-build apartment in England is lucky if they can squeeze a potted plant onto the sill of their tiny, prisonlike opening.

Who's to blame for this injustice? Old ladies.

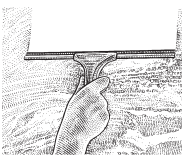
In a country that can go months without seeing the sun, windows have long been a key element in construction. Traditional British architecture is characterized by the majesty of Elizabethan halls with their palatial glass, the elegance of

Georgian townhouses and their sash windows or the charm of Tudor cottages with their trademark diamond casements. Even the once derided, now celebrated Brutalist Barbican included a plethora of glass.

Today, a small, older lady should be able to reach every corner of that window for it to be built.

Guidance from the British Standards Institution on window safety recommends that windows in any new building should accommodate 95% of the U.K. adult population in terms of reach. Scottish recommendations are even more explicit, saying windows

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Clean break

The U.A.E. Seeks A New Mideast

Withdrawal from OPEC and alliance with Israel reshape strategic balance

The United Arab Emirates' decision to withdraw from OPEC did more than deliver a shock to the cartel that has long ruled the

By Summer Said, Jared Malsin and Dov Lieber

global oil market. It also rang the opening bell for the new geopolitical order that the war with Iran is ushering in across the Middle East.

The new alignment is redrawing political fault lines between the Arab world and Israel that defined the region for decades. Instead, Israel is forging an alliance with the U.A.E.—the financial nerve center of the Gulf and a potent military power—as both states work to change the region's strategic balance through force if necessary.

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◆ **U.S. eyes alliance** to resume Hormuz traffic..... **A9**

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